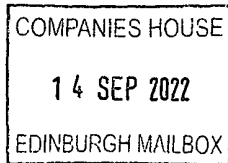
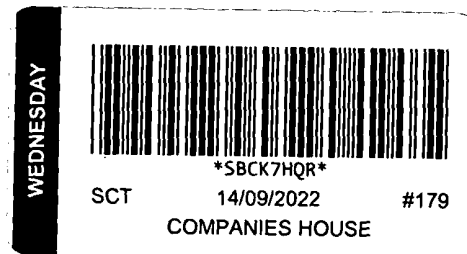


Company Registration No. 08316049 (England and Wales)



OONI LIMITED
REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED
31 DECEMBER 2021



OONI LIMITED

COMPANY INFORMATION

Directors	A Brown D Garland P Ross M K Tapaninaho
Company number	08316049
Registered office	Walderslade Accounting Services 105 Hopewell Business Centre Unit 20 Hopewell Drive Chatham Kent ME5 7NP
Auditor	RSM UK Audit LLP Chartered Accountants Third Floor Centenary House 69 Wellington Street Glasgow G2 6HG

OONI LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 31 DECEMBER 2021

The directors present the strategic report for the year ended 31 December 2021.

Fair review of the business

The principal activities of the group are to develop, market and sell portable pizza ovens and related accessories for use at home.

2021 has been a year of further growth for the group. The primary driver of this has been a continued rise in consumer awareness and demand in our key markets. Further, in contrast to the supply constraints of 2020, there has been greater availability of stock to allow sales to grow across all channels and geographies. Our marketing activities combined with the launch of new products and word-of-mouth referrals, and development of our global retailer and distributor relationships continue to provide a platform for global growth.

We have experienced further acceleration of our long term growth plans as a result of global lock-downs and the change in consumer behaviours brought about by the COVID-19 pandemic. The operational and logistical difficulties brought about by the disruption of the pandemic have continued, particularly in the cost and delays of ocean freight. We expect these to improve through 2022.

Ooni has continued to innovate with the launch of new products. In the fourth quarter, we successfully released our new flagship oven, Ooni Karu 16. This will replace Ooni Pro in our oven line up, with final stock of Ooni Pro winding down through the first half of 2022.

We are and remain committed to our charitable commitments and have allocated 1% of our global revenues to be spent on social and environmental causes, primarily through our partnership with 1% For The Planet. Through this partnership, we have planted over 3.1 million trees in Madagascar.

Principal risks and uncertainties

Global Political & Taxation / Tariff Changes - we import our manufactured products into the US, UK and EU. We remain subject to the risk of political change and policies impacting upon our impact capability, cost base and potential tariffs or duties.

Foreign currency risk – the Group's key currencies are Sterling, Euro and US dollar. The group is exposed to transaction based foreign currency risk, which has historically been managed through a natural hedge due to non-sterling denominated trading activity which offsets exposure to the cost base.

Product failure – the group produces products which operate using combustible materials at high temperatures. The group is exposed to the risk that a fault in such a product could lead to a product recall, or worse, serious injury. The group has an extensive testing program in place to ensure that the design of products is in line with applicable certification standards, and a rigorous multi-stage quality control procedure to inspect and test products once manufactured.

Liquidity risk – the directors regularly review the forward-looking cash flow position to manage any liquidity risk. On 22 September 2021, Ooni Limited entered into a £15m revolving credit facility to support future growth and provide cover for short term working capital shortfalls. This facility was extended to £50m in February 2022.

Systems risk – much of the group's revenue is derived from web sales. If our website went down for an extended period this would negatively impact trade. The group's website is hosted by one of the world's leading ecommerce platform providers, and the group employs an internal web development team and external IT support function for maintenance and ongoing cyber security and resilience respectively.

Customer communities – customer advocacy is recognised as a key driver of Ooni's success. The rapid growth of the business and increase in customer base may put additional pressure on supply chain and customer support response times, and thus impacting customer satisfaction and brand loyalty. We continue to invest heavily in people and systems to optimise the customer journey, including after-sale support. In 2021, we grew our customer support team from 21 people to 46 to cope with increase in demand.

OONI LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 31 DECEMBER 2021

Key performance indicators

Turnover for the year was £208m (2020: £57.2m), with growth driven by marketing activities and new products, enhanced by the continuation of changes in customer behaviour brought about by the global pandemic.

Gross profit as a percentage of turnover was 53% (2020: 57%). This slight decline is a result of the relative increase in wholesale revenue as a percentage of total sales, combined with the additional inbound freight costs as a result of global supply chain disruption and demand.

The operating profit for the year was £45m (2020: £8.1m). This increase is the direct result from the dramatic growth of revenue beyond our operational forecasts, leading to disproportionately low overheads and headcount costs.

Charitable pledge – Ooni is committed to donating 1% of global revenues to charitable causes. In 2021, we spent £0.17m on social and environmental causes, planting over 0.8m trees in 2021 with the Eden Reforestation Projects in Madagascar. The remainder of our 2021 pledge will be donated in 2022.

Other key performance indicators

The group reviews a range of short and medium-term performance indicators. These include: detailed performance metrics of web sales such as conversion rates, cost per customer acquisition and average transaction value; customer net promoter score and employee net promoter score. In 2021, the group performed strongly across all of these measures, driven by strong top line growth, continued demand for our products, and product price increases, as well as continued investment in the business.

Future developments

2021 has been an undoubted year of great success and the Directors foresee continued growth in our key markets and channels in 2022 and beyond. We continue to reinvest our profits to deliver this growth, primarily focused on growing our team and funding inventory assets to meet the growing demand for Ooni products.

The Directors remain confident that any impact of COVID-19 pandemic has been an acceleration of a trend rather than a spike in our growth and we continue to see sales and brand awareness grow across all channels.

Going concern

At 31 December the Group's cash position was £5.1m. Drawings on the revolving credit facility were £15.1m. The group remains profitable in its results and forecasts and positive cash flow generation is expected in the next financial year and beyond.

The Directors have reviewed the current performance and cash flow forecasts, and are satisfied that the group's forecasts and projections, taking account of potential changes in trading performance, show that the group will be able to operate within its facilities for the foreseeable future, and at a minimum for 12 months from the date of signing the financial statements. The directors have therefore continued to accept the going concern basis and preparing the group's financial statements.

OONI LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 31 DECEMBER 2021

Directors duties

Section 172 of the Companies Act 2006 requires directors to take into consideration the interests of stakeholders in their decision making. The directors continue to have regard to the interests when making decisions, including the impact of its activities on the community, environment and the company's reputation.

Acting in good faith and fairly, the directors consider what is most likely to promote the success of the company for its members in the long term. Whilst the importance of giving due consideration to our stakeholders is not new, this explains in more detail this year how the Board engages with stakeholders and setting out how directors have discharged this duty.

All directors are aware of their statutory duties and on appointment to the Board, new directors are given opportunity to meet key stakeholders. The Board will continue to keep engagement methods under review to ensure that they remain effective. The following key points are important in the assessment of the compliance with the requirements of the s172 Statement:

- Ahead of all Board meetings, the directors are supplied with papers which highlight relevant stakeholder considerations and other factors considered relevant to the matter under consideration. The directors are in close contact with the senior management teams across the subsidiary businesses allowing good communication and feedback at a local level.
- The Board regularly considers the principal stakeholders and how they engage with them. The Board seeks to consider the needs and priorities of each stakeholder group during its discussions and as part of its decision making.
- The long term strategy of the company is monitored regularly to ensure this aligns with the vision of the group as a whole. The resulting assessment of future development helps inform the Board's decision making and the balance between short term and long term measures and actions.
- The Board continues to enhance its methods of engagement with the workforce through regular internal communications which are delivered by the management teams.
- The group's policies on a wide range of business and ethics related practices are regularly reviewed and updated as necessary so as to ensure continued compliance with legal and regulatory requirements and good industry practice. The Board monitor the group's policies through the ordinary course of business to ensure the policies are being adhered to.

On behalf of the board

Andrew Brown

.....
A Brown
Director

Date: 04/07/22
.....

OONI LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 DECEMBER 2021

The directors present their annual report and financial statements for the year ended 31 December 2021.

Principal activities

The principal activity of the company and group continued to be the sale and distribution of pizza ovens and accessories.

Results and dividends

The results for the year are set out on page 11.

Ordinary dividends were paid amounting to £2,122,850 (2020: £445,992). The directors do not recommend payment of a further dividend.

Directors

The directors who held office during the year and up to the date of signature of the financial statements were as follows:

A Brown

N Eccles

(Resigned 30 June 2021)

D Garland

P Ross

M K Tapaninaho

Auditor

In accordance with the company's articles, a resolution proposing that RSM UK Audit LLP be reappointed as auditor of the group will be put at a General Meeting.

Energy and carbon reporting

This section discloses our energy consumption, carbon footprint & energy efficiency initiatives from January 2021 to December 2021 in line with the UK Government's Streamlined Energy and Carbon Reporting (SECR) regulation - under the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018.

As a large unquoted company with UK energy use over 40MWh, we are required to disclose associated UK GHG emissions from energy use. We have voluntarily chosen to report further information on our global GHG emissions.

OONI LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 31 DECEMBER 2021

<i>Energy consumption</i>	kWh	kWh
Aggregate of energy consumption in the year		
- Gas combustion	60,436	
- Fuel consumed for transport	104,046	
- Electricity purchased	50,474	
		214,956
<i>Emissions of CO2 equivalent</i>	Metric tonnes	Metric tonnes
Scope 1 - direct emissions		
- Combustion of gas & fuels for office heating & product testing	119.90	
		119.90
Scope 2 - indirect emissions		
- Purchased/Acquired Electricity		20.50
Scope 3 - other indirect emissions		
- Purchases of goods & services, capital goods, and upstream & downstream transportation		293,006.00
Total gross emissions		293,146.40
<i>Intensity ratio</i>		
Tonnes CO2e per £million of turnover		1,409.13

Quantification and reporting methodology

This summary has been prepared following the GHG Reporting Protocol - Corporate Standard & using the guidance set out in the UK Government Environmental Reporting Guidelines (March 2019).

Energy consumption data has been sourced from utility suppliers & internal meter data monitored monthly within our UK office. For our global GHG emissions, Natural Gas and Scope 2 Electricity data was not available for our US and German offices - here estimates have been made using the equivalent UK office data and square footage.

NB: The carbon footprint of ingredients, transport & packaging of our Groceries range has not been included in the current footprint figures. Neither has Scope 3 Category 12 - End of Life Treatment of Sold Products. These will both be calculated & included at a later date.

The 2021 UK Government GHG Conversion Factors for Company Reporting published by the UK Department for Environment Food & Rural Affairs (DEFRA) were used to convert our operational energy use to emissions of CO2e. This is our first SECR reporting year.

Intensity measurement

This allows for a fair comparison over time taking into account growth & cyclical variations.

Total annual turnover used for intensity ratio was £207,979,882.

OONI LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 31 DECEMBER 2021

Measures taken to improve energy efficiency

- Energy meters are monitored monthly across our UK office buildings.
- On a day-to-day basis, our UK Office Coordinator implements employee education on efficiency actions - ie turning off lights, closing doors.
- Timers are set and carefully monitored for air conditioning/heating.
- Partnered with Pawprint (climate behaviour change app) to educate and engage our team on actions they can take to reduce their carbon footprint at home & at work. From July-Dec 2021, our team saved 18.5tCO₂e through actions logged on Pawprint - with concentrated action over the month of September ('September Sprint').
- All light bulbs are LED.

In 2022, we will be assessing the feasibility of solar panels and EV charging points at our UK office.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, each director has taken all the necessary steps that they ought to have taken as a director in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

Andrew Brown

.....
A Brown
Director

Date: 04/07/22
.....

OONI LIMITED

DIRECTORS' RESPONSIBILITIES STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2021

The directors are responsible for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company, and of the profit or loss of the group for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and company's transactions and disclose with reasonable accuracy at any time the financial position of the group and company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF OONI LIMITED

Opinion

We have audited the financial statements of Ooni Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 31 December 2021 which comprise the consolidated statement of comprehensive income, the consolidated statement of financial position, the company statement of financial position, the consolidated statement of changes in equity, the company statement of changes in equity, the consolidated statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the group's and of the parent company's affairs as at 31 December 2021 and of the group's profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice;
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the group and parent company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's or the parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF OONI LIMITED (CONTINUED)

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement set out on page 7, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group's and the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities are instances of non-compliance with laws and regulations. The objectives of our audit are to obtain sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements, to perform audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements, and to respond appropriately to identified or suspected non-compliance with laws and regulations identified during the audit.

In relation to fraud, the objectives of our audit are to identify and assess the risk of material misstatement of the financial statements due to fraud, to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses, and to respond appropriately to fraud or suspected fraud identified during the audit.

However, it is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, the group audit engagement team:

- obtained an understanding of the nature of the industry and sector, including the legal and regulatory framework that the group and parent company operate in and how the group and parent company are complying with the legal and regulatory framework;
- inquired of management, and those charged with governance, about their own identification and assessment of the risks of irregularities, including any known actual, suspected or alleged instances of fraud;
- discussed matters about non-compliance with laws and regulations and how fraud might occur including assessment of how and where the financial statements may be susceptible to fraud.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF OONI LIMITED (CONTINUED)

As a result of these procedures we consider the most significant laws and regulations that have a direct impact on the financial statements are FRS 102 and the Companies Act 2006. We performed audit procedures to detect non-compliances which may have a material impact on the financial statements which included reviewing financial statement disclosures, inspecting correspondence with local tax authorities and evaluating advice received from internal/external tax advisors.

The audit engagement team identified the risk of management override of controls and revenue recognition in relation to cut off and completeness as the areas where the financial statements were most susceptible to material misstatement due to fraud. Audit procedures performed in relation to management override of controls included but were not limited to testing manual journal entries and other adjustments and evaluating the business rationale in relation to significant, unusual transactions and transactions entered into outside the normal course of business. Audit procedures performed on revenue recognition included but were not limited to testing revenue transactions around the year-end date and reconciliation of goods despatches to revenue recognised in the year.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: <https://www.frc.org.uk/auditorsresponsibilities> This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

K Morrison

Katie Morrison (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor
Chartered Accountants
Centenary House
69 Wellington Street
Glasgow
United Kingdom
G2 6HG

05/07/22
.....

OONI LIMITED

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2021

	Notes	2021 £	2020 £
Turnover	3	207,979,882	57,170,256
Cost of sales		(98,789,223)	(24,497,837)
Gross profit		109,190,659	32,672,419
Distribution costs		(18,179,760)	(5,413,905)
Administrative expenses		(46,656,166)	(19,114,960)
Other operating income		679,131	-
Operating profit	6	45,033,864	8,143,554
Interest payable and similar expenses	8	(8,417)	(8,385)
Profit before taxation		45,025,447	8,135,169
Tax on profit	9	(5,169,886)	(1,185,866)
Profit for the financial year		39,855,561	6,949,303

Profit for the financial year is all attributable to the owners of the parent company.

Total comprehensive income for the year is all attributable to the owners of the parent company.

OONI LIMITED**CONSOLIDATED STATEMENT OF FINANCIAL POSITION****AS AT 31 DECEMBER 2021**

	Notes	2021 £	£	2020 £	£
Fixed assets					
Tangible assets	11		1,007,160		534,925
Current assets					
Stocks	14	47,281,576		7,050,148	
Debtors	15	43,272,835		7,458,780	
Cash at bank and in hand		5,111,405		13,575,734	
		<u>95,665,816</u>		<u>28,084,662</u>	
Creditors: amounts falling due within one year	16	<u>(48,332,590)</u>		<u>(18,070,008)</u>	
Net current assets			<u>47,333,226</u>		<u>10,014,654</u>
Total assets less current liabilities			<u>48,340,386</u>		<u>10,549,579</u>
Provisions for liabilities	18		<u>(48,096)</u>		<u>-</u>
Net assets			<u><u>48,292,290</u></u>		<u><u>10,549,579</u></u>
Capital and reserves					
Called up share capital	20		411		411
Share premium account			71,599		71,599
Profit and loss reserves			<u>48,220,280</u>		<u>10,477,569</u>
Total equity			<u><u>48,292,290</u></u>		<u><u>10,549,579</u></u>

The financial statements were approved by the board of directors and authorised for issue on 04/07/22
and are signed on its behalf by:

Andrew Brown

.....
A Brown
Director

OONI LIMITED**COMPANY STATEMENT OF FINANCIAL POSITION****AS AT 31 DECEMBER 2021**

	Notes	2021 £	£	2020 £	£
Fixed assets					
Tangible assets	11		966,551		528,757
Investments	12		75		75
			<u>966,626</u>		<u>528,832</u>
Current assets					
Stocks	14	17,995,496		3,698,767	
Debtors	15	62,960,650		3,840,094	
Cash at bank and in hand		3,149,192		12,795,826	
		<u>84,105,338</u>		<u>20,334,687</u>	
Creditors: amounts falling due within one year	16	(37,948,672)		(9,572,371)	
Net current assets			<u>46,156,666</u>		<u>10,762,316</u>
Total assets less current liabilities			<u>47,123,292</u>		<u>11,291,148</u>
Provisions for liabilities	18		(48,096)		-
Net assets			<u><u>47,075,196</u></u>		<u><u>11,291,148</u></u>
Capital and reserves					
Called up share capital	20		411		411
Share premium account			71,599		71,599
Profit and loss reserves			47,003,186		11,219,138
Total equity			<u><u>47,075,196</u></u>		<u><u>11,291,148</u></u>

As permitted by s408 Companies Act 2006, the company has not presented its own profit and loss account and related notes as it prepares group accounts. The company's profit for the year was £37,896,898 (2020 - £7,895,945).

The financial statements were approved by the board of directors and authorised for issue on 04/07/22 and are signed on its behalf by:

Andrew Brown

A Brown
Director

OONI LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2021

	Notes	Share capital £	Share premium account £	Profit and loss reserves £	Total £
Balance at 1 January 2020		11	71,599	3,939,102	4,010,712
Year ended 31 December 2020:					
Profit and total comprehensive income for the year		-	-	6,949,303	6,949,303
Issue of share capital		400	-	-	400
Dividends	10	-	-	(445,992)	(445,992)
Credit to equity for equity settled share-based payments	21	-	-	35,156	35,156
Balance at 31 December 2020		411	71,599	10,477,569	10,549,579
Year ended 31 December 2021:					
Profit and total comprehensive income for the year		-	-	39,855,561	39,855,561
Dividends	10	-	-	(2,122,850)	(2,122,850)
Credit to equity for equity settled share-based payments	21	-	-	10,000	10,000
Balance at 31 December 2021		411	71,599	48,220,280	48,292,290

OONI LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2021

	Notes	Share capital £	Share premium account £	Profit and loss reserves £	Total £
Balance at 1 January 2020		11	71,599	3,734,029	3,805,639
Year ended 31 December 2020:					
Profit and total comprehensive income for the year		-	-	7,895,945	7,895,945
Issue of share capital		400	-	-	400
Dividends	10	-	-	(445,992)	(445,992)
Credit to equity for equity settled share-based payments	21	-	-	35,156	35,156
Balance at 31 December 2020		411	71,599	11,219,138	11,291,148
Year ended 31 December 2021:					
Profit and total comprehensive income for the year		-	-	37,896,898	37,896,898
Dividends	10	-	-	(2,122,850)	(2,122,850)
Credit to equity for equity settled share-based payments	21	-	-	10,000	10,000
Balance at 31 December 2021		411	71,599	47,003,186	47,075,196

OONI LIMITED

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2021

	Notes	2021 £	£	2020 £	£
Cash flows from operating activities					
Cash (absorbed by)/generated from operations	22	(19,350,209)		13,324,191	
Interest paid		(8,417)		(8,385)	
Income taxes paid		(1,230,985)		-	
Net cash (outflow)/inflow from operating activities		(20,589,611)		13,315,806	
Investing activities					
Purchase of tangible fixed assets		(810,537)		(166,165)	
Net cash used in investing activities		(810,537)		(166,165)	
Financing activities					
Proceeds from issue of shares		-		400	
Receipts from bank loan	15,143,696	-		-	
Dividends paid to equity shareholders	(2,122,850)			(445,992)	
Net cash generated from/(used in) financing activities		13,020,846		(445,592)	
Net (decrease)/increase in cash and cash equivalents		(8,379,302)		12,704,049	
Cash and cash equivalents at beginning of year		13,575,734		1,518,729	
Effect of foreign exchange rates		(85,027)		(647,044)	
Cash and cash equivalents at end of year		5,111,405		13,575,734	

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021

1 Accounting policies

Company information

Ooni Limited ("the company") is a private company limited by shares and is registered and incorporated in England and Wales. The registered office is Walderslade Accounting Services, 105 Hopewell Business Centre Unit 20, Hopewell Drive, Chatham, Kent, ME5 7NP.

The group consists of Ooni Limited and all of its subsidiaries.

The company's and the group's principal activities and nature of its operations are disclosed in the Directors' Report.

Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006, including the provisions of the Large and Medium sized Companies and Groups (Accounts and Reports) Regulations 2008.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

The company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements for parent company information presented within the consolidated financial statements:

- Section 7 'Statement of Cash Flows' - Presentation of a statement of cash flow and related notes and disclosures;
- Section 33 'Related Party Disclosures' - Compensation for key management personnel.

Basis of consolidation

The consolidated financial statements incorporate those of Ooni Limited and all of its subsidiaries (i.e. entities that the group controls through its power to govern the financial and operating policies so as to obtain economic benefits). Subsidiaries acquired during the year are consolidated using the purchase method. Their results are incorporated from the date that control passes.

All financial statements are made up to 31 December 2021. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the group.

All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

1 Accounting policies (Continued)

The cost of a business combination is the fair value at the acquisition date of the assets given, equity instruments issued and liabilities incurred or assumed, plus costs directly attributable to the business combination.

The cost of the combination includes the estimated amount of contingent consideration that is probable and can be measured reliably, and is adjusted for changes in contingent consideration after the acquisition date.

Provisional fair values recognised for business combinations in previous periods are adjusted retrospectively for final fair values determined in the 12 months following the acquisition date.

Deferred tax is recognised on differences between the value of assets (other than goodwill) and liabilities recognised in a business combination accounted for using the purchase method and the amounts that can be deducted or assessed for tax, considering the manner in which the carrying amount of the asset or liability is expected to be recovered or settled. The deferred tax recognised is adjusted against goodwill or negative goodwill.

Going concern

At 31 December the Group's cash position was £5.1m. Drawings on the revolving credit facility were £15.1m. The group remains profitable in its results and forecasts and positive cash flow generation is expected in the next financial year and beyond.

The Directors have reviewed the current performance and cash flow forecasts, and are satisfied that the group's forecasts and projections, taking account of potential changes in trading performance, show that the group will be able to operate within its facilities for the foreseeable future, and at a minimum for 12 months from the date of signing the financial statements. The directors have therefore continued to accept the going concern basis and preparing the group's financial statements.

Turnover

Turnover is measured at the fair value of the consideration received or receivable for goods supplied and services rendered, net of discounts and Value Added Tax.

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have transferred to the buyer, usually on despatch of the goods; the amount of revenue can be measured reliably; it is probable that the associated economic benefits will flow to the entity and the costs incurred or to be incurred in respect of the transactions can be measured reliably.

Research and development expenditure

Research expenditure is written off against profits in the year in which it is incurred. Identifiable development expenditure is capitalised to the extent that the technical, commercial and financial feasibility can be demonstrated.

Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Leasehold land and buildings	20% straight line
Plant and equipment	25% straight line
Fixtures and fittings	25% straight line

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

1 Accounting policies (Continued)

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Fixed asset investments

In the separate accounts of the company, interests in subsidiaries are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

Impairment of fixed assets

At each reporting period end date, the group reviews the carrying amounts of its tangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The carrying amount of the investments accounted for using the equity method is tested for impairment as a single asset.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost includes all cost of purchase, costs of conversion and other costs incurred in bringing the stocks to their present location and condition.

Cash and cash equivalents

Cash and cash equivalents are basic financial instruments and include cash in hand.

Financial instruments

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

1 Accounting policies (Continued)

Basic financial assets

Basic financial assets, which include trade and other debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the financial asset is measured at the present value of the future receipts discounted at a market rate of interest.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including trade and other creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the group's contractual obligations are discharged, cancelled, or they expire.

Equity instruments

Equity instruments issued by the group are recorded at the fair value of proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

1 Accounting policies (Continued)

Taxation

The tax expense represents the sum of the current tax expense and deferred tax expense. Current tax assets are recognised when tax paid exceeds the tax payable.

Current and deferred tax is charged or credited to profit or loss, except when it relates to items charged or credited to other comprehensive income or equity, when the tax follows the transaction or event it relates to and is also charged or credited to other comprehensive income, or equity.

Current tax assets and current tax liabilities and deferred tax assets and deferred tax liabilities are offset, if and only if, there is a legally enforceable right to set off the amounts and the entity intends either to settle on the net basis or to realise the asset and settle the liability simultaneously.

Current tax is based on taxable profit for the year. Current tax assets and liabilities are measured using tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date. Timing differences are differences between the company's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements.

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date. Deferred tax is measured on a non-discounted basis.

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

Retirement benefits

For defined contribution schemes the amount charged to profit or loss is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

1 Accounting policies (Continued)

Share-based payments

Equity-settled share-based payments are measured at fair value at the date of grant by reference to the fair value of the equity instruments granted using the Black Scholes model. The fair value determined at the grant date is expensed on a straight-line basis over the vesting period, based on the estimate of shares that will eventually vest. A corresponding adjustment is made to equity.

When the terms and conditions of equity-settled share-based payments at the time they were granted are subsequently modified, the fair value of the share-based payment under the original terms and conditions and under the modified terms and conditions are both determined at the date of the modification. Any excess of the modified fair value over the original fair value is recognised over the remaining vesting period in addition to the grant date fair value of the original share-based payment. The share-based payment expense is not adjusted if the modified fair value is less than the original fair value.

Cancellations or settlements (including those resulting from employee redundancies) are treated as an acceleration of vesting and the amount that would have been recognised over the remaining vesting period is recognised immediately.

Leases

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight-line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

Foreign exchange

Transactions in currencies other than the functional currency (foreign currency) are initially recorded at the exchange rate prevailing on the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary assets and liabilities denominated in foreign currencies are translated at the rate ruling at the date of the transaction, or, if the asset or liability is measured at fair value, the rate when that fair value was determined.

All translation differences are taken to profit or loss, except to the extent that they relate to gains or losses on non-monetary items recognised in other comprehensive income, when the related translation gain or loss is also recognised in other comprehensive income.

2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

3 Turnover and other revenue

	2021 £	2020 £
Turnover analysed by class of business		
Sales from pizza ovens and accessories	207,979,882	57,170,256

The geographical split is not disclosed in these accounts as it is considered seriously prejudicial to the group.

4 Employees

The average monthly number of persons (including directors) employed during the year was:

	Group 2021 Number	2020 Number	Company 2021 Number	2020 Number
Administrative	141	59	120	59
Management	6	5	-	-
Total	147	64	120	59

Their aggregate remuneration comprised:

	Group 2021 £	2020 £	Company 2021 £	2020 £
Wages and salaries	7,425,506	2,697,457	5,407,515	2,369,912
Social security costs	763,146	270,833	565,884	232,959
Pension costs	323,013	155,642	294,877	152,407
	8,511,665	3,123,932	6,268,276	2,755,278

5 Directors' remuneration

	2021 £	2020 £
Remuneration for qualifying services	165,417	122,965
Company pension contributions to defined contribution schemes	25,431	20,458
	190,848	143,423

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 3 (2020 - 3).

During the current and previous year, two of the directors received remuneration by way of dividend.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

6 Operating profit

	2021 £	2020 £
Operating profit for the year is stated after charging/(crediting):		
Exchange differences apart from those arising on financial instruments measured at fair value through profit or loss	(1,514,739)	2,496,798
Research and development costs	311,966	223,699
Depreciation of owned tangible fixed assets	338,302	224,252
Share-based payments	10,000	-
Operating lease charges	184,139	91,319
	<u> </u>	<u> </u>

7 Auditor's remuneration

	2021 £	2020 £
Fees payable to the company's auditor and associates:		
For audit services		
Audit of the financial statements of the group and company	33,500	30,000
	<u> </u>	<u> </u>
For other services		
Other taxation services	5,000	5,000
All other non-audit services	7,500	5,500
	<u> </u>	<u> </u>
	12,500	10,500
	<u> </u>	<u> </u>

8 Interest payable and similar expenses

	2021 £	2020 £
Interest on financial liabilities measured at amortised cost:		
Interest on bank overdrafts and loans	4,743	-
Other finance costs:		
Other interest	3,674	8,385
	<u> </u>	<u> </u>
Total finance costs	8,417	8,385
	<u> </u>	<u> </u>

9 Taxation

	2021 £	2020 £
Current tax		
UK corporation tax on profits for the current period	5,325,017	1,185,866
Adjustments in respect of prior periods	(203,227)	-
	<u> </u>	<u> </u>
Total current tax	5,121,790	1,185,866
	<u> </u>	<u> </u>

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

9 Taxation (Continued)

Deferred tax

Origination and reversal of timing differences	36,553	-
Changes in tax rates	11,543	-
Total deferred tax	48,096	-
Total tax charge	5,169,886	1,185,866

The total tax charge for the year included in the income statement can be reconciled to the profit before tax multiplied by the standard rate of tax as follows:

	2021	2020
	£	£
Profit before taxation	45,025,447	8,135,169
Expected tax charge based on the standard rate of corporation tax in the UK of 19.00% (2020: 19.00%)	8,554,835	1,545,682
Tax effect of expenses that are not deductible in determining taxable profit	135,856	290,363
Tax effect of income not taxable in determining taxable profit	-	(650,179)
Adjustments in respect of prior years	(245,847)	-
Effect of change in corporation tax rate	11,543	-
Research and development tax credit	(3,227,393)	-
Effect of overseas tax rates	44,918	-
Deferred tax not recognised	(104,026)	-
Taxation charge	5,169,886	1,185,866

Changes to the UK corporation tax rates were substantively enacted as part of Finance Bill 2021 (on 24 May 2021). These changes included an increase in the main rate to 25% from April 2023. This change has no significant impact on these financial statements.

10 Dividends

	2021	2020
	£	£
Recognised as distributions to equity holders:		
Final paid	2,122,850	445,992

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

11 Tangible fixed assets

Group	Leasehold land and buildings £	Plant and equipment £	Fixtures and fittings £	Total £
Cost				
At 1 January 2021	276,493	571,181	234,608	1,082,282
Additions	35,206	475,042	300,289	810,537
At 31 December 2021	311,699	1,046,223	534,897	1,892,819
Depreciation and impairment				
At 1 January 2021	147,842	261,254	138,261	547,357
Depreciation charged in the year	55,952	211,288	71,062	338,302
At 31 December 2021	203,794	472,542	209,323	885,659
Carrying amount				
At 31 December 2021	107,905	573,681	325,574	1,007,160
At 31 December 2020	128,651	309,927	96,347	534,925
Company				
	Leasehold land and buildings £	Plant and equipment £	Fixtures and fittings £	Total £
Cost				
At 1 January 2021	276,493	571,181	226,950	1,074,624
Additions	35,206	475,042	259,588	769,836
At 31 December 2021	311,699	1,046,223	486,538	1,844,460
Depreciation and impairment				
At 1 January 2021	147,842	261,254	136,771	545,867
Depreciation charged in the year	55,952	211,288	64,802	332,042
At 31 December 2021	203,794	472,542	201,573	877,909
Carrying amount				
At 31 December 2021	107,905	573,681	284,965	966,551
At 31 December 2020	128,651	309,927	90,179	528,757

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

12 Fixed asset investments

	Notes	Group 2021 £	2020 £	Company 2021 £	2020 £
Investments in subsidiaries	13	-	-	75	75

Movements in fixed asset investments Company

	Shares in group undertakings £
Cost or valuation	
At 1 January 2021 and 31 December 2021	75
Carrying amount	
At 31 December 2021	75
At 31 December 2020	75

13 Subsidiaries

Details of the company's subsidiaries at 31 December 2021 are as follows:

Name of undertaking	Registered office	Nature of business	Class of shares held	% Held Direct
Ooni Inc	2140 South Dupont Highway, Camden, Kent DE 19934	Sale and distribution of pizza ovens and related accessories	Ordinary	100.00
Ooni GmbH	Simrockstraße 11, 53113 Bonn	Sale and distribution of pizza ovens and related accessories	Ordinary	100.00

14 Stocks

	Group 2021 £	2020 £	Company 2021 £	2020 £
Finished goods and goods for resale	47,281,576	7,050,148	17,995,496	3,698,767

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

15 Debtors

	Group 2021 £	2020 £	Company 2021 £	2020 £
Amounts falling due within one year:				
Trade debtors	22,604,808	4,655,616	8,866,271	1,227,013
Amounts owed by group undertakings	-	-	35,892,233	8,833
Amounts owed by parent entity	1,886,043	-	1,886,043	-
Other debtors	106,284	106,170	9,831	6,394
Prepayments and accrued income	18,675,700	2,696,994	16,306,272	2,597,854
	<u>43,272,835</u>	<u>7,458,780</u>	<u>62,960,650</u>	<u>3,840,094</u>

Amounts owed by group undertakings are repayable on demand and interest free.

16 Creditors: amounts falling due within one year

	Notes	Group 2021 £	2020 £	Company 2021 £	2020 £
Bank loans	17	15,143,696	-	15,143,696	-
Trade creditors		16,472,450	2,799,037	9,620,696	1,887,372
Amounts owed to group undertakings		-	-	-	1,910,007
Corporation tax payable		4,879,169	988,364	4,732,339	853,112
Other taxation and social security		389,123	767,661	886,493	676,411
Other creditors		1,511,960	1,383,078	1,225,569	1,335,269
Accruals and deferred income		9,936,192	12,131,868	6,339,879	2,910,200
		<u>48,332,590</u>	<u>18,070,008</u>	<u>37,948,672</u>	<u>9,572,371</u>

The amounts included within bank loans above are secured by a fixed and floating charge over the assets of the parent company.

17 Borrowings

	Group 2021 £	2020 £	Company 2021 £	2020 £
Bank loans	<u>15,143,696</u>	<u>-</u>	<u>15,143,696</u>	<u>-</u>
Payable within one year	<u>15,143,696</u>	<u>-</u>	<u>15,143,696</u>	<u>-</u>

The above bank loan borrowings are payable within one year and are subject to a variable rate of interest.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

18 Deferred taxation

The major deferred tax liabilities and assets recognised by the group and company are:

	Liabilities 2021 £	Liabilities 2020 £
Group		
Accelerated capital allowances	138,100	-
Short-term timing differences	(90,004)	-
	<u>48,096</u>	<u>-</u>
	Liabilities 2021 £	Liabilities 2020 £
Company		
Accelerated capital allowances	138,100	-
Short-term timing differences	(90,004)	-
	<u>48,096</u>	<u>-</u>
	Group 2021 £	Company 2021 £
Movements in the year:		
Asset at 1 January 2021	-	-
Charge to profit or loss	48,096	48,096
	<u>48,096</u>	<u>48,096</u>
Liability at 31 December 2021	<u>48,096</u>	<u>48,096</u>

The deferred tax liability set out above contain short-term timing differences expected to reverse within 12 months and the remainder relates to accelerated capital allowances that are expected to unwind over the useful life or on sale of the asset.

19 Retirement benefit schemes

	2021 £	2020 £
Defined contribution schemes		
Charge to profit or loss in respect of defined contribution schemes	<u>323,013</u>	<u>155,642</u>

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund.

As at the reporting date contributions totalling £57,371 (2020 - £19,022) remained due to the pension provider and are included within other creditors.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

20 Share capital

	Group and Company			
	2021	2020	2021	2020
	Number	Number	£	£
Ordinary share capital				
Issued and fully paid				
Ordinary A shares of 0.001p each	1,000,000	1,000,000	10	10
Ordinary B shares of 0.001p each	138,000	138,000	1	1
Ordinary C shares of 1p each	32,500	40,000	325	400
Deferred shares of 1p each	7,500	-	75	-
	<u>1,178,000</u>	<u>1,178,000</u>	<u>411</u>	<u>411</u>

Share rights

The ordinary A shares all have full voting rights as well as rights to dividends.

The ordinary B shares have rights to dividends but no voting rights attached to them.

The ordinary C shares have rights to capital returns but no voting or dividend rights attached to them.

The deferred shares have no rights to voting, dividends or capital.

21 Share-based payment transactions

At 31 December 2021, the company has the following share-based arrangements:

In November 2019, the company established an EMI Share options programme that entitled employees to purchase 5% of the ordinary share capital of the company. Under the programme, the holder of the vested options was entitled to purchase shares at an agreed exercise price. The key terms and conditions related to the grants under these programmes were as follows; all the options were to be settled by the physical delivery of shares.

Group and company	Number of share options		Weighted average exercise price	
	2021	2020	2021	2020
	Number	Number	£	£
Outstanding at 1 January 2021	147,056	147,953	1.96	1.97
Forfeited	-	(897)	-	2.61
Outstanding at 31 December 2021	<u>147,056</u>	<u>147,056</u>	<u>-</u>	<u>-</u>
Exercisable at 31 December 2021	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

The company measured the fair value of the equity instruments granted using the actual market value method, as agreed with HMRC.

Liabilities and expenses

During the year, the company recognised total share-based payment expenses of £10,000 (2020 - £35,156) which related to equity settled share based payment transactions.

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

22 Cash (absorbed by)/generated from group operations

	2021 £	2020 £
Profit for the year after tax	39,855,561	6,949,303
Adjustments for:		
Taxation charged	5,169,886	1,185,866
Finance costs	8,417	8,385
Depreciation and impairment of tangible fixed assets	338,302	224,252
Foreign exchange gains on cash equivalents	85,027	647,044
Equity settled share based payment expense	10,000	35,156
Movements in working capital:		
Increase in stocks	(40,231,428)	(3,506,180)
Increase in debtors	(35,814,054)	(6,879,314)
Increase in creditors	11,228,080	14,659,679
Cash (absorbed by)/generated from operations	(19,350,209)	13,324,191

23 Analysis of changes in net funds/(debt) - group

	1 January 2021 £	Cash flows £	Exchange rate movements £	31 December 2021 £
Cash at bank and in hand	13,575,734	(8,379,302)	(85,027)	5,111,405
Borrowings excluding overdrafts	-	(15,143,696)	-	(15,143,696)
	<u>13,575,734</u>	<u>(23,522,998)</u>	<u>(85,027)</u>	<u>(10,032,291)</u>

24 Operating lease commitments

Lessee

At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	Group 2021 £	2020 £	Company 2021 £	2020 £
Within one year	243,744	58,751	51,991	49,163
Between one and five years	244,000	47,025	244,000	47,025
In over five years	56,655	-	56,655	-
	<u>544,399</u>	<u>105,776</u>	<u>352,646</u>	<u>96,188</u>

OONI LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2021

25 Related party transactions

Remuneration of key management personnel

The remuneration of key management personnel of the group, who are also directors, is as follows.

	2021 £	2020 £
Aggregate compensation	754,300	395,382

The group has taken advantage of the exemption contained in FRS 102 Section 33.1A and has therefore not disclosed transactions with other members of the Ooni Limited group of companies as they 100% owned.

26 Controlling party

The ultimate controlling party is D Garland and M K Tapaninaho by virtue of their respective shareholdings.

27 Events after the reporting date

On 8 March 2022, the Ordinary 'A' shares of the company were transferred to Magic Foundry Limited, a company incorporated in Scotland. Magic Foundry Limited is the new immediate parent undertaking.